SPHOORTHY ENGINEERING COLLEGE | *(UGC Autonomous — NAAC Grade A)*

Financial Management: Capital Budgeting, Cost of Capital & Dividends

Department: MBA	**Course / Subject:** Financial Management (MB201PC)
Semester: Semester 2	**Regulation:** Autonomous (SR23 / SR24)

Course Overview & Key Focus: Time Value of Money, Capital Budgeting decisions (NPV, IRR, Profitability Index), Weighted Average Cost of Capital (WACC), Operating Leverage, and Working Capital.

Unit 1: Foundations of Corporate Finance

Financial management objectives (Profit maximization vs Wealth maximization), Time value of money (Present Value, Future Value, Annuities), Risk-Return tradeoff.

Unit 2: Capital Budgeting Evaluation Techniques

Non-discounted methods (Payback period, Accounting Rate of Return ARR), Discounted methods (Net Present Value NPV, Internal Rate of Return IRR, Profitability Index PI).

Unit 3: Cost of Capital (WACC)

Cost of Debt (after-tax), Cost of Preference Capital, Cost of Equity (CAPM model, Dividend Discount Model), Weighted Average Cost of Capital (WACC) computations.

Unit 4: Capital Structure & Leverage

Operating, Financial, and Combined leverage, Theories of capital structure (Net Income, Net Operating Income, Modigliani-Miller theorem with and without taxes), EBIT-EPS analysis.

Unit 5: Dividend Policies & Working Capital

Walter's model, Gordon's growth model, MM dividend irrelevance theory, Determinants of working capital, Cash conversion cycle, Inventory management (EOQ).